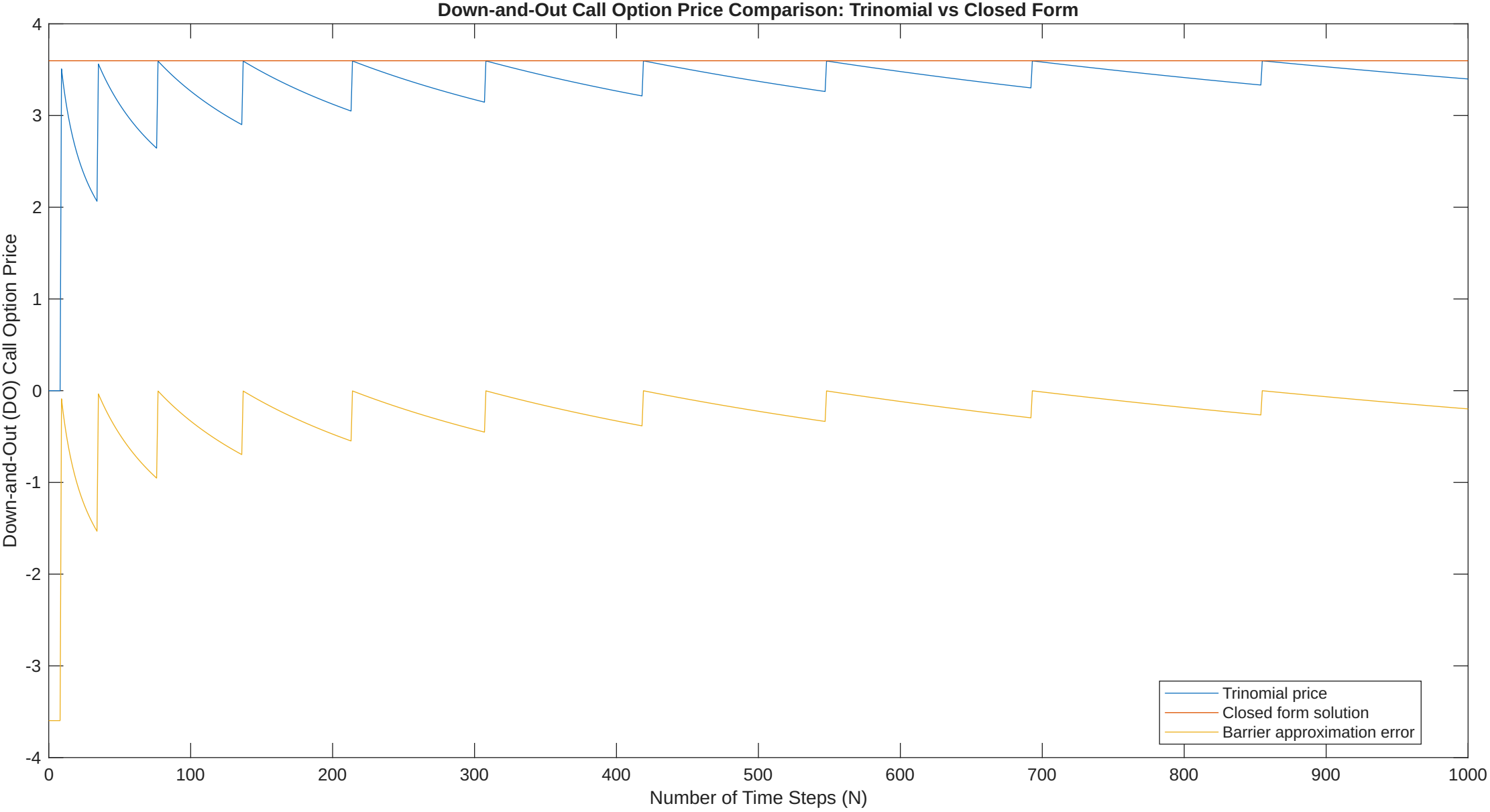
Down-and-Out Call Option Price Comparison: Trinomial vs Closed Form
Down-and-Out (DO) Call Option Price
Number of Time Steps (N)
Trinomial price
Closed form solution
Barrier approximation error
4
3
2
1
0
-1
-2
-3
-4
0
100
200
300
400
500
600
700
800
900
1000